

Books of Accounts – General Journal, General Ledger, and Special Journals

Recording transactions is the foundation of accounting. But where exactly are these transactions recorded? They are not written on scraps of paper or stored in spreadsheets without order. They are recorded in formal books called the **books of accounts**. These books are the official records where businesses document every financial transaction. Without proper books of accounts, a business cannot prepare financial statements, file accurate tax returns, or track its financial position. Understanding the different books – the general journal, general ledger, subsidiary ledgers, and special journals – is essential for anyone who wants to handle business accounting correctly.

This reading material distinguishes the different books of accounts: the general journal, general ledger, subsidiary ledgers, cash receipt journal, cash disbursement journal, sales journal, and purchase journal. It explains the purpose of each book and provides examples of when and how to use them.

Part 1: The Two Main Books of Accounts

Every accounting system has two primary books: the **general journal** and the **general ledger**. All other books (special journals and subsidiary ledgers) are optional tools that larger businesses use to organize information more efficiently.

Book	Purpose	Also Called
General Journal	Records transactions in chronological order	Book of Original Entry
General Ledger	Groups transactions by account	Book of Final Entry

Part 2: The General Journal (Book of Original Entry)

What Is the General Journal?

The **general journal** is the book where transactions are first recorded. It is called the **book of original entry** because this is where the accounting process begins. Every transaction is recorded in the general journal in chronological order (by date) before being transferred to the general ledger.

Format of the General Journal

A standard journal entry has five parts:

Column	What It Shows
Date	When the transaction occurred
Account Titles and Description	Which accounts are debited and credited, plus a brief explanation
P.R. (Posting Reference)	The ledger page number where the entry was posted (filled in later)
Debit	The amount debited
Credit	The amount credited

Example of a General Journal Entry

Transaction: On January 5, 2024, the owner invested ₱100,000 cash into the business.

Date	Account Titles and Description	P.R.	Debit	Credit
Jan 5	Cash		100,000	
	Owner's Capital			100,000
	(Owner investment to start business)			

Rules for Writing Journal Entries:

Rule	Explanation
Debit first	The debited account is written first, flush to the left margin
Credit indented	The credited account is written below, indented to the right
Explanation	A brief description is written below the credited account, also indented
Skip a line	Leave a blank line between journal entries
No "to"	Do not write the word "to" between accounts (though some textbooks still do)

When to Use the General Journal

The general journal is used to record:

Type of Transaction	Example
Owner investments and withdrawals	Owner invests cash or equipment; owner withdraws cash
Purchase or sale of assets on credit	Buying equipment on credit; selling inventory on credit
Adjusting entries	Recording depreciation, prepaid expenses, accrued expenses
Closing entries	Transferring income, expense, and drawing balances to capital
Correcting entries	Fixing errors made in previous entries

Part 3: The General Ledger (Book of Final Entry)

What Is the General Ledger?

The **general ledger** is the book that contains all the individual accounts of the business (Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, Owner's Capital, Service Revenue, Rent Expense, etc.). It is called the **book of final entry** because information from the general journal is transferred (posted) to the general ledger.

Format of a General Ledger Account (T-Account or Standard Ledger Form)

T-Account Form (Simple):

<u>Cash</u>	
Debit	Credit
100,000	20,000
30,000	45,000
25,000	70,000

Standard Ledger Form (More Detailed):

Date	Explanation	P.R.	Debit	Credit	Balance
Jan 5	Owner investment	J1	100,000		100,000
Jan 10	Paid rent	J1		20,000	80,000
Jan 15	Service revenue	J1	30,000		110,000

Posting: Transferring from Journal to Ledger

Posting is the process of transferring debit and credit amounts from the general journal to the individual accounts in the general ledger.

Steps in Posting:

Step	Action
1	Locate the ledger account that matches the debited account in the journal

Step	Action
2	Copy the date from the journal to the ledger
3	Enter the debit amount in the debit column of the ledger
4	Write the journal page number (e.g., J1) in the P.R. column of the ledger
5	Write the ledger page number in the P.R. column of the journal (to show it has been posted)
6	Repeat steps 1-5 for the credited account
7	Update the running balance in the ledger

Why the General Ledger Is Important

Reason	Explanation
Organizes information	Groups all transactions for a single account in one place (e.g., all cash transactions together)
Shows account balances	The balance of each account can be seen at any time
Supports financial statements	The trial balance and financial statements are prepared using ledger balances

Part 4: Special Journals

In small businesses, all transactions can be recorded in the general journal. However, as a business grows, it may have thousands of similar transactions (e.g., hundreds of cash sales per day). Recording each one individually in the general journal becomes inefficient. **Special journals** are used to group and record similar types of transactions.

Types of Special Journals

Journal	Transactions Recorded
Cash Receipts Journal	All transactions where cash is received (cash sales, collections from customers, owner investments in cash)
Cash Disbursements Journal	All transactions where cash is paid (cash purchases, payment of expenses, payment to suppliers, owner withdrawals in cash)
Sales Journal	All credit sales of inventory (sales on account)
Purchase Journal	All credit purchases of inventory (purchases on account)

Comparison of Special Journals

Journal	Transaction Type	Affected Accounts (Typical)
Cash Receipts	Cash IN	Debit: Cash; Credit: Sales, Accounts Receivable, Owner's Capital
Cash Disbursements	Cash OUT	Credit: Cash; Debit: Expenses, Accounts Payable, Owner's Drawings
Sales Journal	Credit sales of inventory	Debit: Accounts Receivable; Credit: Sales
Purchase Journal	Credit purchases of inventory	Debit: Purchases (or Inventory); Credit: Accounts Payable

When to Use Special Journals

Business Size	Recommended Books
Very small (e.g., sari-sari store)	General Journal only
Small to medium	General Journal + General Ledger + appropriate special journals
Large	General Journal (for non-routine entries) + General Ledger + Subsidiary Ledgers + all four special journals

Part 5: Subsidiary Ledgers

What Is a Subsidiary Ledger?

A **subsidiary ledger** is a supporting ledger that contains detailed information about a specific general ledger account. It breaks down a single general ledger account into individual components. The general ledger account that summarizes the subsidiary ledger is called a **control account**.

Two Common Subsidiary Ledgers

Subsidiary Ledger	Control Account	What It Shows
Accounts Receivable Subsidiary Ledger	Accounts Receivable (control)	How much each individual customer owes the business
Accounts Payable Subsidiary Ledger	Accounts Payable (control)	How much the business owes to each individual supplier

Example: Accounts Receivable Subsidiary Ledger

General Ledger (Control Account):

Accounts Receivable

Date	Balance
Jan 31	₱150,000

Accounts Receivable Subsidiary Ledger (Details):

Customer Name	Amount Owed
Juan Dela Cruz	₱50,000
Maria Santos	₱70,000
Jose Rizal	₱30,000
Total	₱150,000

The balance in the control account (₱150,000) must always equal the sum of all individual customer balances in the subsidiary ledger (₱50,000 + ₱70,000 + ₱30,000 = ₱150,000).

Why Subsidiary Ledgers Are Important

Reason	Explanation
Prevents clutter	The general ledger shows only the total, not hundreds of individual customers
Provides detail	You can see how much a specific customer owes without searching through all transactions

Reason	Explanation
Supports collections	Helps manage which customers are late in paying
Supports payments	Helps manage which suppliers are due for payment

Part 6: The Flow of Information Through the Books

The accounting process follows a logical sequence from source documents to financial statements.

Step 1: Source Documents

Transactions begin with source documents such as receipts, invoices, official receipts, and purchase orders.

Step 2: Journal Entry

Transactions are recorded in the General Journal (Book of Original Entry) or in Special Journals such as Cash Receipts Journal, Cash Disbursements Journal, Sales Journal, or Purchase Journal.

Step 3: Posting

The amounts recorded in the journals are then posted (transferred) to the ledgers.

Step 4: Ledgers

The General Ledger (Book of Final Entry) contains all individual accounts. Subsidiary Ledgers such as Accounts Receivable and Accounts Payable provide supporting details for control accounts.

Step 5: Trial Balance

A trial balance is prepared from the General Ledger to verify that total debits equal total credits.

Step 6: Financial Statements

Finally, the financial statements (Income Statement, Balance Sheet, Cash Flow Statement, and Statement of Changes in Equity) are prepared using the account balances from the General Ledger.

The Accounting Cycle (Simplified)

The table below summarizes the six steps of the accounting cycle, from the occurrence of a transaction to the preparation of financial statements.

Step	Activity	Book Used
1	Transaction occurs	Source documents
2	Transaction recorded	General Journal or Special Journals
3	Amounts posted	General Ledger and Subsidiary Ledgers
4	Trial balance prepared	General Ledger
5	Adjusting entries (if any)	General Journal
6	Financial statements prepared	General Ledger

Part 7: Detailed Examples of Each Journal

Example 1: General Journal Entry (Non-Routine Transaction)

Transaction: On January 15, 2024, the business purchased a delivery van for ₱500,000 cash.

Date	Account Titles and Description	Debit	Credit
Jan 15	Delivery Equipment	500,000	
	Cash		500,000
	(Purchase of delivery van for cash)		

Example 2: Cash Receipts Journal

Format:

Date	Account Credited	Explanation	Cash Debit	Sales Credit	Accounts Receivable Credit	Other Accounts Credit
Jan 5	Sales	Cash sale	30,000	30,000		
Jan 10	Accounts Receivable (J. Cruz)	Collection	20,000		20,000	
Jan 20	Owner's Capital	Investment	100,000			100,000

Entries Explained:

Entry	Explanation
Jan 5	Cash sale of ₱30,000. Cash debit ₱30,000; Sales credit ₱30,000.
Jan 10	Collected ₱20,000 from customer Juan Dela Cruz. Cash debit ₱20,000; Accounts Receivable credit ₱20,000.
Jan 20	Owner invested ₱100,000 cash. Cash debit ₱100,000; Owner's Capital credit ₱100,000 (entered in "Other Accounts").

Example 3: Cash Disbursements Journal

Format:

Date	Account Debited	Explanation	Cash Credit	Accounts Payable Debit	Other Accounts Debit
Jan 8	Rent Expense	Paid rent	25,000		25,000
Jan 12	Accounts Payable (ABC Supplies)	Paid supplier	15,000	15,000	
Jan 25	Office Supplies	Bought supplies for cash	5,000		5,000

Entries Explained:

Entry	Explanation
Jan 8	Paid rent ₱25,000. Cash credit ₱25,000; Rent Expense debit ₱25,000.
Jan 12	Paid supplier ABC Supplies ₱15,000. Cash credit ₱15,000; Accounts Payable debit ₱15,000.
Jan 25	Bought office supplies for cash ₱5,000. Cash credit ₱5,000; Office Supplies debit ₱5,000.

Example 4: Sales Journal (Credit Sales of Inventory Only)

Format:

Date	Customer	Invoice Number	Accounts Receivable Debit	Sales Credit
Jan 6	Maria Santos	101	40,000	40,000
Jan 18	Jose Rizal	102	25,000	25,000
Jan 27	Juan Dela Cruz	103	35,000	35,000
Total for January			100,000	100,000

Note: The total at the end of the month is posted to the general ledger: Debit Accounts Receivable ₱100,000; Credit Sales ₱100,000. Individual customer amounts are posted daily or monthly to the Accounts Receivable Subsidiary Ledger.

Example 5: Purchase Journal (Credit Purchases of Inventory Only)

Format:

Date	Supplier	Invoice Number	Accounts Payable Credit	Purchases Debit
Jan 7	ABC Supplies	201	20,000	20,000
Jan 14	XYZ Trading	202	30,000	30,000
Jan 22	DEF Merchants	203	15,000	15,000
Total for January			65,000	65,000

Note: The total at the end of the month is posted to the general ledger: Debit Purchases ₱65,000; Credit Accounts Payable ₱65,000. Individual supplier amounts are posted daily or monthly to the Accounts Payable Subsidiary Ledger.

Part 8: Which Books Should a Business Use?

The choice of books depends on the size and complexity of the business.

Business Size	Recommended Books	Reason
Very small (sari-sari store, freelance)	General Journal + General Ledger	Few transactions; special journals are unnecessary
Small retail store	General Journal + General Ledger + Cash Receipts Journal + Cash Disbursements Journal	Many cash transactions; few credit sales or purchases
Small merchandising business (with credit)	All four special journals + General Ledger + Subsidiary Ledgers	Many cash and credit transactions; need to track customers and suppliers
Large business	All books + computerized accounting system	High volume; efficiency requires automation

Key Terms

Term	Definition
General Journal	Book of original entry where transactions are first recorded in chronological order
General Ledger	Book of final entry containing all individual accounts; balances are used for financial statements
Special Journal	A journal used to record similar types of transactions (e.g., all cash receipts)
Cash Receipts Journal	Special journal for all transactions where cash is received
Cash Disbursements Journal	Special journal for all transactions where cash is paid
Sales Journal	Special journal for all credit sales of inventory
Purchase Journal	Special journal for all credit purchases of inventory
Subsidiary Ledger	A supporting ledger containing detailed information about a control account
Control Account	The general ledger account that summarizes a subsidiary ledger
Posting	The process of transferring amounts from journals to ledgers
Book of Original Entry	Another name for the general journal
Book of Final Entry	Another name for the general ledger

Review Questions

1. What are the two main books of accounts? Explain the difference between them.
2. What is a special journal? List the four special journals covered in this lesson.
3. For each of the following transactions, indicate which journal would be used to record it:
 - (a) Owner invests cash in the business
 - (b) Sale of inventory for cash
 - (c) Sale of inventory on credit
 - (d) Purchase of inventory on credit
 - (e) Payment of rent in cash
 - (f) Collection of cash from a customer who owed money
 - (g) Payment to a supplier for inventory purchased on credit
4. What is a subsidiary ledger? Give two examples of subsidiary ledgers and their corresponding control accounts.
5. A business has an Accounts Receivable control account balance of ₱200,000. The subsidiary ledger shows the following customer balances: Customer A ₱80,000, Customer B ₱50,000, Customer C ₱40,000. What should the balance of Customer D be?
6. Prepare a general journal entry for the following transaction: On February 10, 2024, the business purchased office equipment for ₱75,000 cash.
7. Prepare a general journal entry for the following transaction: On February 15, 2024, the business provided services worth ₱45,000 to a customer on credit.
8. Using the Cash Receipts Journal format shown in this lesson, record the following cash receipts for March 2024:
 - March 2: Cash sale of ₱12,000
 - March 10: Collection of ₱8,000 from customer Juan Cruz
 - March 20: Owner invested ₱50,000 cash

9. Why would a very small business choose to use only the general journal instead of special journals?

10. Application question: A small retail store has the following transactions in one week. Indicate which journal (General Journal, Cash Receipts Journal, Cash Disbursements Journal, Sales Journal, or Purchase Journal) should be used for each transaction:

- Monday: Sold inventory for cash, ₱5,000
- Tuesday: Purchased inventory on credit from ABC Supplier, ₱10,000
- Wednesday: Paid rent in cash, ₱15,000
- Thursday: Sold inventory on credit to Customer X, ₱8,000
- Friday: Collected cash from Customer X, ₱8,000
- Saturday: Owner withdrew cash for personal use, ₱3,000

Explain your reasoning for each choice.